The Impact of Delivery Time on Customer Satisfaction in the UK E-commerce Industry

A Dissertation Submitted in Partial Fulfillment of the Requirements for the Degree of Master of Business Administration (MBA)

University of the West of Scotland
School of Business and Creative Industries

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1. Introduction

Background of the Study

Over the past few years, e-commerce in the United Kingdom has grown very fast, becoming one of the fastest-changing economic sectors. Statista's estimates show that the online market will be worth £141.80 billion in 2025. Technology moving forward at a fast pace, what customers demand, and the rise of global online marketplaces are the main causes of this boom. More consumers in the UK are using online shops to buy everything, and this has resulted in strong competition between retailers. ASOS UK, Boohoo, Zara, H&M, and Amazon UK are not only fighting for what they sell or how much they charge, but also focusing on making their customers' delivery experience the best.

The time it takes to deliver an order has now become a major factor that separates businesses from others. Since people want shipments to arrive on time and without delays, dependable last-mile delivery services play a key role in molding people's opinions of a company. As per research, about two-thirds of UK customers think that receiving orders within 24 hours is just normal (Akıl and Ungan, 2022). The increased retail demand forces businesses to handle their deliveries and logistics with great accuracy.

On the other hand, it is very difficult to ensure fast delivery, keep costs low, and manage the company's operations successfully. Problems in timely delivery can spoil the customer's experience, lower their chances of buying again, and result in canceled orders. Now that the market is so crowded, retailers have to keep their promise of fast delivery. For this reason, it is essential for any UK-based online retailer to understand clearly how speed of delivery affects customer satisfaction when competing with other e-tailers.

Problem Statement

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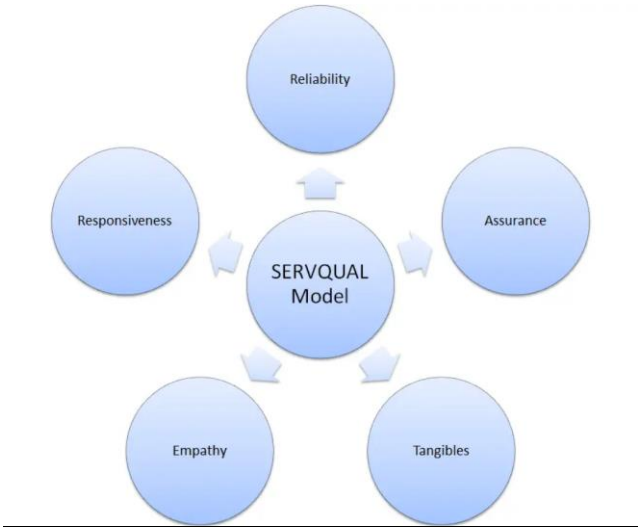
Reliability
Responsiveness
Assurance
SERVQUAL Model
Empathy
Tangibles

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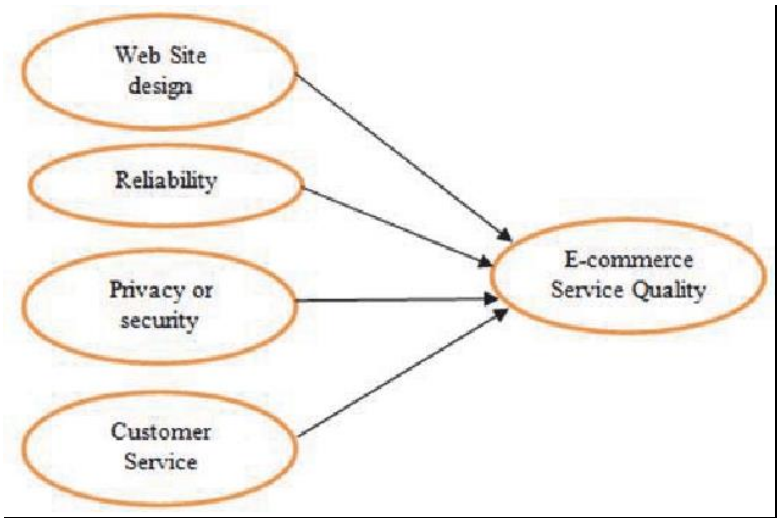

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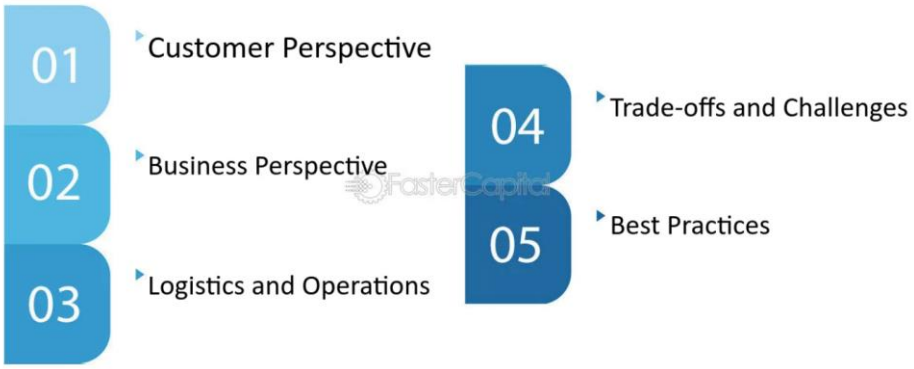
The Impact of Delivery Speed on Customer Satisfaction



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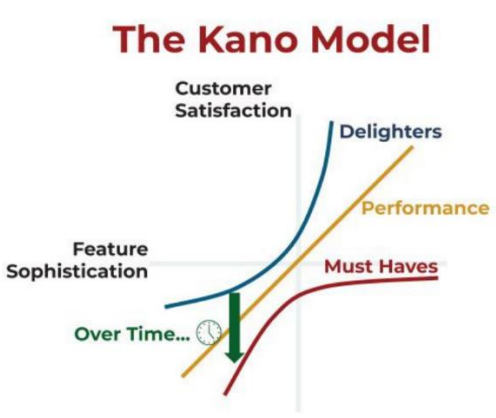
SERVQUAL
Model
Tangibles
Empathy
Reliability
Assurance
Availability


The Kano Model
Customer Satisfaction
Delighters
Performance
Feature Sophistication
Must Haves
Over Time...

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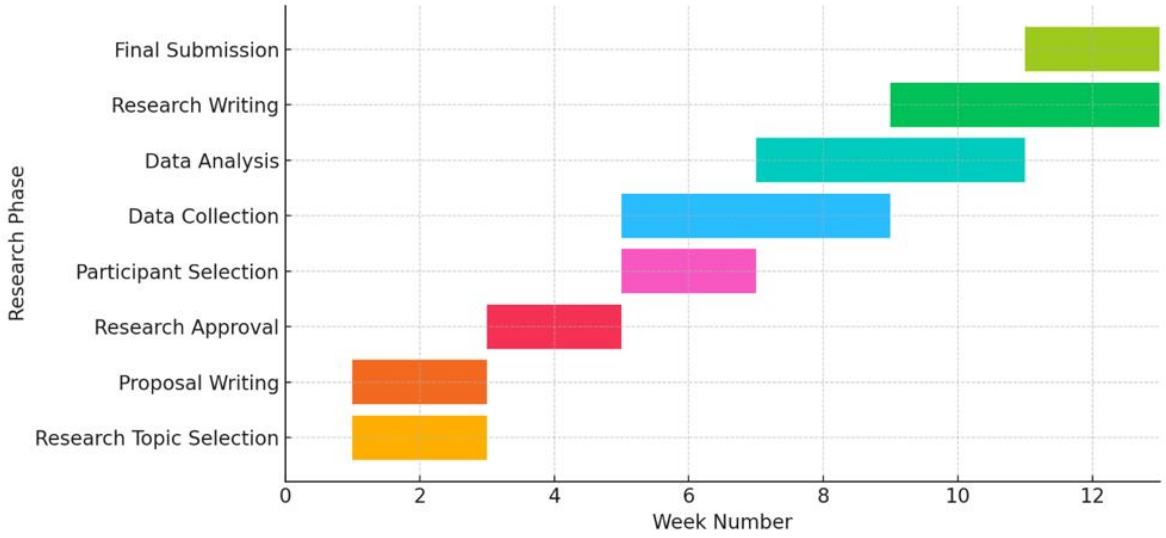

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SPSS_ModifiedData.sav [DataSet1] - IBM SPSS Statistics Data Editor (Trial Mode)

File Edit View Data Transform Analyze Graphs Utilities Extensions Window Help

	Name	Type	Width	Decimals	Label	Values	Missing	Columns	Align	Measure	Role
1	ID	Numeric	3	0		None	None	12	Right	Scale	Input
2	Age	Numeric	5	0		None	None	5	Right	Nominal	Input
3	Gender	Numeric	1	0		None	None	12	Right	Nominal	Input
4	income	Numeric	14	0		None	None	14	Right	Nominal	Input
5	Howoftendo...	String	14	0	How often do y...	None	None	14	Left	Nominal	Input
6	Haveyoupla...	String	23	0	Have you place...	None	None	23	Left	Nominal	Input
7	Whichdelive...	String	21	0	Which delivery ...	None	None	21	Left	Nominal	Input
8	Question	String	8	0		None	None	8	Left	Nominal	Input
9	delivery_time	Numeric	1	0		None	None	12	Right	Nominal	Input
10	sat_1	Numeric	1	0		None	None	12	Right	Nominal	Input
11	Companies...	Numeric	1	0	Companies Lik...	None	None	12	Right	Nominal	Input
12	sat_2	Numeric	1	0		None	None	12	Right	Nominal	Input
13	Companies...	Numeric	1	0	Companies lik...	None	None	12	Right	Nominal	Input
14	Myorderarriv...	Numeric	1	0	My order arrive...	None	None	12	Right	Nominal	Input
15	Companies...	Numeric	1	0	Companies lik...	None	None	12	Right	Nominal	Input
16	Ifeltconfiden...	Numeric	1	0	I felt confidenc...	None	None	12	Right	Nominal	Input
17	sat_3	Numeric	1	0		None	None	12	Right	Nominal	Input
18	delivery_im...	Numeric	1	0	delivery_impact	None	None	12	Right	Nominal	Input
19	Iintendtosh...	Numeric	1	0	I intend to shop...	None	None	12	Right	Nominal	Input
20	loyalty_1	Numeric	1	0		None	None	12	Right	Nominal	Input
21	loyalty_2	Numeric	1	0		None	None	12	Right	Nominal	Input
22	Iwouldbewil...	Numeric	1	0	I would be willi...	None	None	12	Right	Nominal	Input
23	Clarityofdeli...	String	11	0	Clarity of delive...	None	None	11	Left	Nominal	Input
24	Valueformo...	String	11	0	Value for mone...	None	None	11	Left	Nominal	Input
25	Flexibilityofd...	String	11	0	Flexibility of del...	None	None	11	Left	Nominal	Input
26	Easeoftrack...	String	11	0	Ease of trackin...	None	None	11	Left	Nominal	Input
27	satisfaction...	Numeric	8	2		None	None	20	Right	Scale	Input

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Statistics

		Age	Gender	delivery_time	delivery_impact
N	Valid	92	100	100	98
	Missing	8	0	0	2

Age

		Frequency	Percent	Valid Percent	Cumulative Percent
Valid	0	13	13.0	14.1	14.1
	0	36	36.0	39.1	53.3
	0	43	43.0	46.7	100.0
	Total	92	92.0	100.0	
Missing	System	8	8.0		
Total		100	100.0		

Gender

		Frequency	Percent	Valid Percent	Cumulative Percent
Valid	1	53	53.0	53.0	53.0
	2	37	37.0	37.0	90.0
	3	10	10.0	10.0	100.0
	Total	100	100.0	100.0	

[redacted]

delivery_time

		Frequency	Percent	Valid Percent	Cumulative Percent
Valid	1	35	35.0	35.0	35.0
	2	36	36.0	36.0	71.0
	3	23	23.0	23.0	94.0
	4	6	6.0	6.0	100.0
	Total	100	100.0	100.0	

delivery_impact

		Frequency	Percent	Valid Percent	Cumulative Percent
Valid	1	18	18.0	18.4	18.4
	2	23	23.0	23.5	41.8
	3	17	17.0	17.3	59.2
	4	26	26.0	26.5	85.7
	5	14	14.0	14.3	100.0
	Total	98	98.0	100.0	
Missing	System	2	2.0		
Total		100	100.0		

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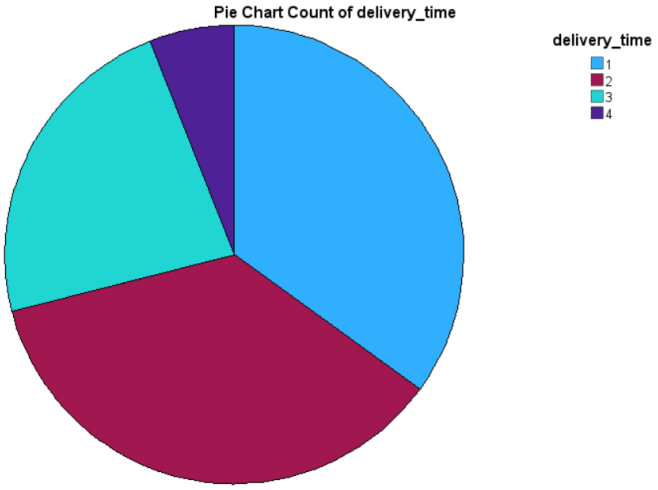
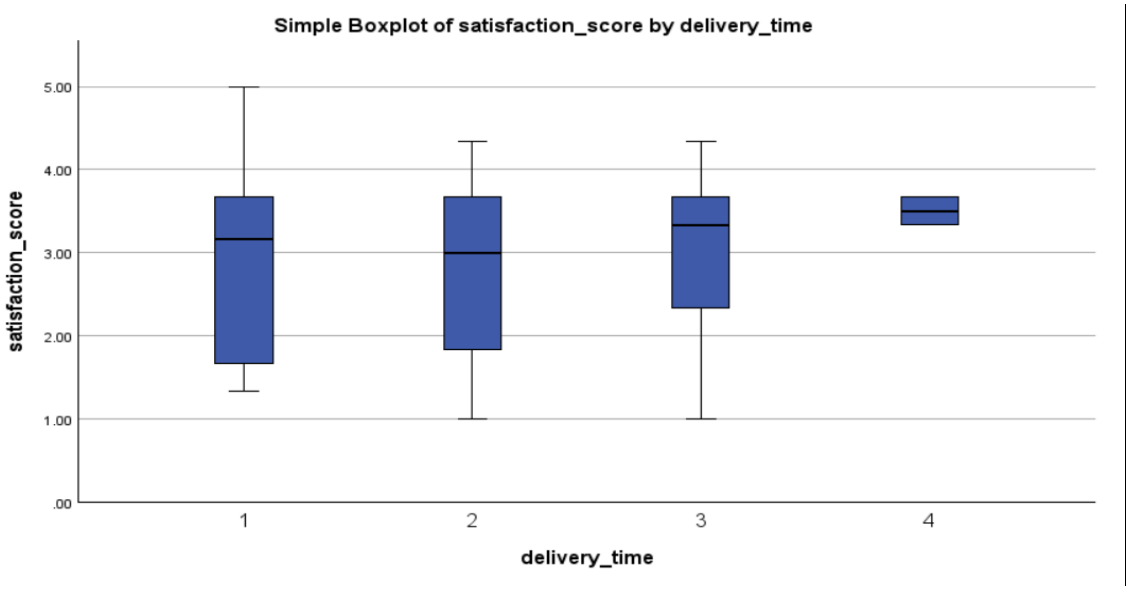
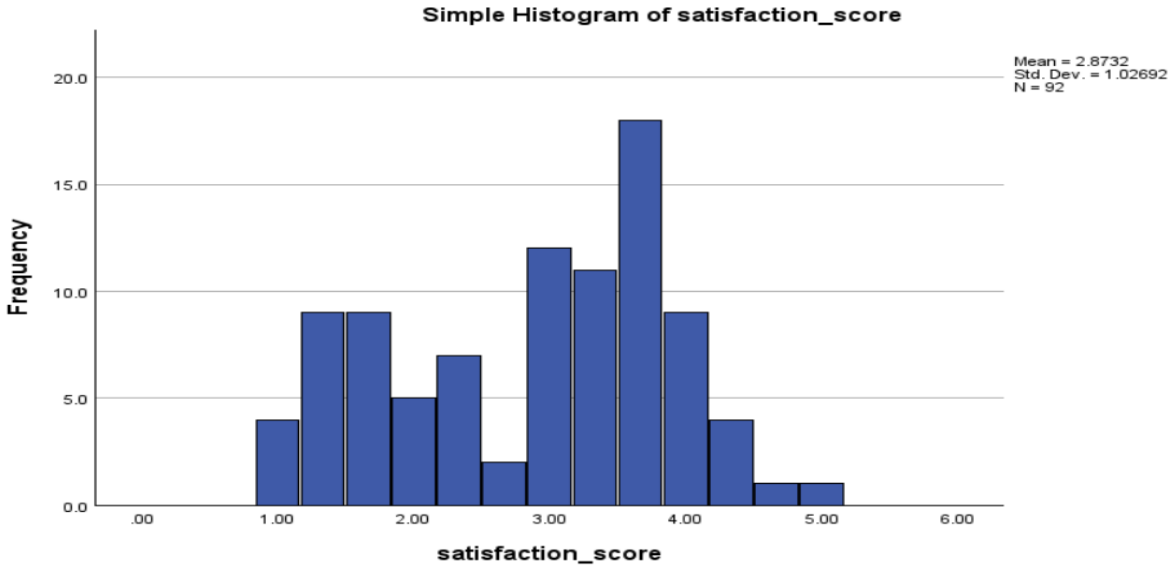

Pie Chart Count of delivery_time
delivery_time
1
2
3
4


Simple Boxplot of satisfaction_score by delivery_time
satisfaction_score
5.00
4.00
3.00
2.00
1.00
.00
1
2
3
4
delivery_time



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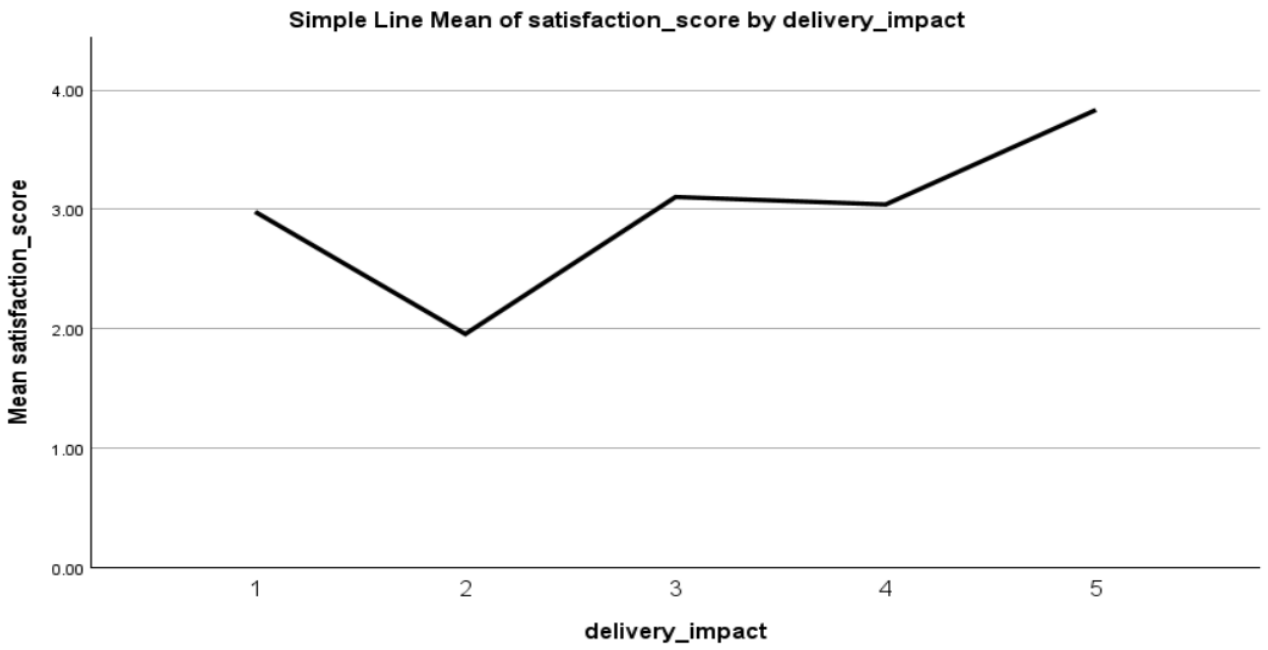

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Reliability Statistics

Cronbach's Alpha	Cronbach's Alpha Based on Standardized Items	N of Items
.766	.765	3

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Inter-Item Correlation Matrix

	sat_1	sat_2	sat_3
sat_1	1.000	.614	.535
sat_2	.614	1.000	.412
sat_3	.535	.412	1.000

Item-Total Statistics

	Scale Mean if Item Deleted	Scale Variance if Item Deleted	Corrected Item-Total Correlation	Squared Multiple Correlation	Cronbach's Alpha if Item Deleted
sat_1	5.91	3.992	.685	.472	.583
sat_2	5.77	4.815	.593	.386	.692
sat_3	5.55	5.327	.530	.297	.758

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Variables Entered/Removed[a]

Model	Variables Entered	Variables Removed	Method
1	delivery_impact[b]	.	Enter

a. Dependent Variable: satisfaction_score

b. All requested variables entered.

Model Summary

Model	R	R Square	Adjusted R Square	Std. Error of the Estimate
1	.357[a]	.127	.118	.96457

a. Predictors: (Constant), delivery_impact

[redacted]

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Correlations

		delivery_time	satisfaction_score
delivery_time	Pearson Correlation	1	.076
	Sig. (2-tailed)		.472
	N	100	92
satisfaction_score	Pearson Correlation	.076	1
	Sig. (2-tailed)	.472	
	N	92	92

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ANOVA[a]

Model		Sum of Squares	df	Mean Square	F	Sig.
1	Regression	12.229	1	12.229	13.143	<.001[b]
	Residual	83.736	90	.930		
	Total	95.965	91			

a. Dependent Variable: satisfaction_score

b. Predictors: (Constant), delivery_impact

Coefficients[a]

Model		Unstandardized Coefficients		Standardized Coefficients	t	Sig.
		B	Std. Error	Beta		
1	(Constant)	2.076	.242		8.587	<.001
	delivery_impact	.275	.076	.357	3.625	<.001

a. Dependent Variable: satisfaction_score

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